Because your freelancers are based in Australia performing local services, your platform is legally classified as an **Electronic Distribution Platform (EDP)**. Unlike international cross-border transactions (like Fiverr's corporate setup in Israel/US), local Australian bookings require strict handling of split payments and Goods and Services Tax (GST). [1, 2, 3]

The implementation details for your split-payment billing method and the application of GST are outlined below.

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**1. How to Structure the Invoices (The "20/80" Split)**

You should **not** issue a single invoice from your platform covering the entire amount if the core service belongs to the freelancer. Instead, your platform will generate a **single, itemised document** on behalf of the freelancer (using the Stripe on_behalf_of layout) that acts as the primary master invoice. [1, 2]

To execute the deposit structure, your master invoice must display **Progressive Payment Terms**: [1]

- **Total Project Value:** $500 AUD
- **Deposit Collected at Booking (20%):** $100 AUD *(Marked as "PAID via Platform")*
- **Balance Due 24 Hours Prior to Booking (80%):** $400 AUD *(Marked as "BALANCE OUTSTANDING - Due [Date/Time]")*

**Why this works with Stripe:**

When the customer pays the remaining 80% prior to the booking date, your platform captures the second Stripe charge against the same transaction ID, and Stripe automatically issues a updated payment receipt confirming the final balance is now PAID. [1]

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**2. How GST Applies in This Scenario**

Under ATO rules, GST applies fundamentally based on **who is registered for GST**, not how the cash is timed. [1]

Because the payment is split into a 20% deposit and an 80% balance, **GST is calculated on the full 100% value of the service from day one**—it is not split into separate pieces.

**Scenario A: The Freelancer is Registered for GST (Turnover > $75k)**

If the freelancer has a verified, GST-registered ABN, the transaction must include 10% GST on the entire value. [1, 2]

- **The Math:** If a service costs $500, the invoice must show $454.55 (Base) + $45.45 (GST) = **$500 Total**.
- **The Split:** The customer pays $100 at booking (which includes a proportional slice of the GST) and $400 later.
- **The Commission:** Your platform takes its application fee out of the total. If your platform is also GST-registered, you must issue a separate Tax Invoice *to the freelancer* charging 10% GST on just your commission amount. [1]

**Scenario B: The Freelancer is NOT Registered for GST (Turnover < $75k)**

If the freelancer is an hobbyist or small sole-trader who doesn't collect GST, **no GST can be charged to the customer on the core service**. [1, 2]

- **The Math:** The service costs $500 flat. The invoice must clearly say "No GST has been charged" or show GST as $0.
- **The Platform Commission Exception:** Even if the freelancer doesn't charge GST, **your platform still must charge GST on its own commission fee** if your platform's annual turnover is over $75,000. You will deduct your commission + GST from the freelancer's payout and issue them an invoice for that software service fee. [1, 2, 3]

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### ⚖️ Operational Blueprint for Your QLD Platform

To ensure this automated flow complies with the ATO's **Sharing Economy Reporting Regime (SERR)** and standard tax guidelines, adhere to the following setup rules: [1]

1. **The Tax Point:** Legally, the liability to account for GST arises as soon as the *first* payment (the 20% deposit) is received or an invoice is issued, whichever happens first. The freelancer must account for the transaction in the financial quarter that the customer books, even if the 80% balance isn't collected until a later date.
2. **Automate the ABN Look-up:** Use your Stripe onboarding pipeline to ping the **Australian Business Register (ABR)** automatically. If the freelancer's profile shows they are GST-registered, configure your database to toggle inclusive_of_gst = true for all invoices generated on their behalf.
3. **The 24-Hour Safeguard:** Ensure your code handles failed balance payments. If the 80% charge fails 24 hours prior to the booking, your platform needs a mechanism to cancel the booking and generate a **"Adjustment Note" (Credit**

**Note)** on behalf of the freelancer to legally nullify the original invoice for the customer.